

lots of other flying creatures, I think). But this pattern is called a bullish bat, so that's the story I'm sticking with.

Without the lines, the pattern looks like a big M chart pattern or even a double top with tall sides. The difference between the bullish bat and those other patterns is the use of Fibonacci ratios to determine the turning points, so let's discuss that next.

**AB/AX retrace.** Let me give an example of how to find the various points. Points X and A are arbitrary minor low and high points, respectively. Minor low B is an important one. The ratio of leg AB to AX should be either .382 or .5. Because the pattern is so complicated, the rules determining valid ones limit the numbers you will find in the real world. So I used the high–low price range of one of the points in the ratio. If a Fibonacci number is within the high–low range, then it's allowed as a valid turning point.

**Table 5.1** Identification Guidelines

| Characteristic  | Discussion                                                                                    |
|-----------------|-----------------------------------------------------------------------------------------------|
| Appearance      | Looks like a big M with turns located by Fibonacci ratios.                                    |
| AB/AX retrace   | The ratio of AB/AX is either .382 or .5                                                       |
| CB/AB retrace   | The ratio of CB/AB is one of .382, .5, .618, .707, .786, or .886                              |
| CD/CB extension | The extension of leg CD to CB is one of the Fibonacci numbers: 1.618, 2, 2.24, or 2.618.      |
| AD/AX retrace   | The ratio of AD to AX is .886.                                                                |
| Volume          | Volume is downward the majority of the time, but this is an observation, not a requirement.   |
| Duration        | I limited patterns to 6 months, but this is an arbitrary limit I use for many chart patterns. |